

Non-deductible GIC & SIC from 1 July 2025

The tax law denies deductions for general interest charge ("GIC") and shortfall interest charge ("SIC") incurred from 1 July 2025.

Outlined below are some examples of what this practically means in respect of GIC and SIC imposed on different kinds of tax debt, as explained in the ATO's [Denying deductions for ATO interest charges](#) guidance. At the outset, it is noted that generally:

- GIC imposed on unpaid income tax liabilities is incurred on a daily basis from the statutory due date of payment.
- SIC imposed on an unpaid income tax shortfall is incurred in the year the taxpayer is served a notice of amended assessment.
- Any GIC or SIC incurred on after 1 July 2025 is not deductible irrespective of whether the debt relates to an earlier income year.
- It is important to understand when an assessment is issued or deemed to be issued by the ATO as this in many cases determines when the GIC and/or SIC were incurred (and in turn, their deductibility).

Interest Type	Deductibility
1. GIC on unpaid tax liability incurred daily from statutory due date of payment – e.g. <i>income tax, GST, FBT</i>	GIC accrued up to 30 June 2025 is deductible. GIC accrued from 1 July 2025 is not deductible .
2. Late lodgement of income tax return where GIC incurred upon service of notice of assessment • <i>FY21 tax return due 31 October 2021 lodged late on 8 July 2025</i> • <i>Notice of assessment served on 18 July 2025</i> • <i>Statutory due date for payment of income tax is still 21 November 2021</i> • <i>Income tax paid 20 August 2025</i>	• GIC is calculated from the statutory due date of payment being 21 November 2021. • GIC is incurred on 18 July 2025 when notice of assessment is served. • GIC accrued up to 18 July 2025 is not deductible. • GIC incurred after notice of assessment issued and when tax liability is paid on 20 August 2025 is also not deductible.
3. Late lodgement of income tax return where some GIC is deductible • <i>FY22 tax return due 31 October 2022 lodged late on 4 June 2025</i> • <i>Notice of assessment served on 16 June 2025</i> • <i>Statutory due date for payment of income tax is still 21 November 2022</i> • <i>Income tax paid 27 August 2025</i>	• GIC is calculated from the statutory due date of payment being 21 November 2022. • GIC is incurred on 16 June 2025 when notice of assessment is served. • GIC incurred from 21 November 2022 to 30 June 2025 is deductible. • GIC incurred from 1 July 2025 to 27 August 2025 is not deductible.
4. GIC relating to unpaid GST is incurred from deemed GST assessment • <i>December 2024 quarter BAS due for lodgement and payment on 28 February 2025</i> • <i>BAS is lodged late on 15 July 2025</i>	• Deemed assessment when BAS is lodged on 15 July 2025. • GIC is calculated from the due date of payment, being 28 February 2025, but is incurred upon deemed assessment on 15 July 2025. • GIC is not deductible as incurred from 1 July 2025 onwards.
5. SIC incurred on service of notice of assessment	If this occurs after 1 July 2025, the SIC imposed on the shortfall amount is not deductible (irrespective of the income year to which it relates).

Tax consolidation - subsequent loss transfer cancellation choice ineffective

In a win for the taxpayer, the Federal Court in [Evolution Mining Ltd v FC of T \[2026\] FCA 935](#) has found that a head company's choice in its 2014 income tax return to cancel the transfer of more than \$31 million of tax losses of a subsidiary that joined the tax consolidated group in 2012 was ineffective for the purposes of section 707-145 of the ITAA 1997.

Such a choice was not made in the lodged 2012 and 2013 income tax returns. This meant that some of these losses were validly available to be used by the head company in the 2017 income year.

Section 707-145 provides an irrevocable choice to the head company of a tax consolidated group to cancel the transfer of a tax loss.

The consequences following from a cancellation under section 707-145 include (1) increasing the allocable cost amount ("ACA") for a subsidiary joining a tax consolidated group; and (2) maintaining the existing "available fractions" for loss bundles previously transferred to the head company by other joining subsidiaries.

Jackman J of the Federal Court held that the choice to cancel the transfer of the losses was made in the 2014 income year. This choice was ineffective because the decision to cancel the automatic transfer of losses to a head company upon a subsidiary joining the tax consolidated group can only be made in relation to the joining year.

The statutory interpretation and legislative context of section 707-145 supported this view as:

- If a choice is made to cancel a tax loss, subsection 707-145(2) operates "in perpetuity for that income year and all future income years as if that transfer had not occurred".
- If a choice is made to cancel a tax loss, subsection 707-145(3) prevents the taxpayer from revoking such a cancellation of the tax loss before or upon lodging its tax return for an income year subsequent to the joining year.
- There is no statutory mechanism to recalculate the ACA and available fractions in the event that a loss cancellation choice is made in a year subsequent to the joining year. The legislation is intended to provide the head company with a choice between the ability to use the transferred losses from a joining entity or the two consequences noted above (not both).

This case highlights the importance of statutory interpretation and legislative context to ascertain the purpose of the law and how the law is intended to operate.

In addition, irrevocable choices under the tax law are required to be made within specific timeframes and must be carefully made as they can have far-reaching consequences in subsequent income years.

FIRB – Foreign Investment Tax Checklist

On 25 June 2026, the Foreign Investment Review Board ("FIRB") released Version 4 of its [Foreign Investment Tax Checklist](#). This follows the release of Version 3 on 26 February 2026.

The Foreign Investment Portal was updated on 4 July 2026 and it has been [noted](#) by Treasury that the updated Tax Checklist provides greater clarity around the financing information required at the time of submission, based on the specifics of the transaction. Completion of the tax checklist is generally mandatory.

Aside from some reordering / renumbering of certain questions, some of the key changes to the checklist include:

- Inclusion of an "Overview" section which outlines the sections of the Tax Checklist which are mandatory and sections which may be applicable based on the transaction/s.
- A specific question on the name, position, and firm of any tax advisers who provided advice on Australian tax matters for the acquisition or restructure ("Transaction"), the foreign investment submission, or related requests for information.
- Taxpayer alerts – confirmation is now required of whether the transaction has features or an arrangement covered by certain taxpayer alerts.

Contact

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